

STANLEY KROLL

Stanley Kroll, one of the most respected commodities traders, staked his success on steely patience. In his desk drawer, Kroll kept a quote from Edwin Lefèvre's book, *Reminiscences of a Stock Operator*. It reads, in part, "After spending many years in Wall Street and after making and losing millions of dollars, I want to tell you this: It never was my thinking that made the big money for me. It was always my sitting. Got that? My sitting tight." That was Kroll's key to success—no matter what, he held onto his convictions and didn't panic. If he got jumpy, he'd take a vacation to Europe or an extended trip on his boat, just to stay away from the market and not jump the gun.

Kroll started his career with Merrill Lynch in the late 1950s. In the early years he never accumulated much capital, but he had plenty of theories, so he decided to put them to the test and cofounded Kroll, Dallon and Company in 1967. After a successful run, he retired in 1975 for five years. His next surprise move was in 1985, when he set up office in a 54-foot yacht, furnished with communications equipment so he could trade from anywhere. Not only was commuting time reduced to a few seconds, but he loved the solitude. "After all," he wrote, "what could be more peaceful and conducive to clear thinking than a comfortable boat tied up (most of the time) to some very stout piers and pilings?"

For Kroll, that concentration involved following every trade in the commodities in which he was interested. His office staff wasn't allowed to talk to him during trading hours, and any communication was via gestures. Kroll's buying and selling decisions were based purely on movements in the market, nothing else, because he believed too many so-called facts were unreliable. "Take cocoa, for instance," Kroll said. "It's almost all grown in Ghana and Nigeria. The information that comes out of two countries is issued by their cocoa marketing boards, which are what they sound like—instruments for getting the best price they can for their cocoa growers—about as impartial and factual a source of information as Tass." In *How to Win Big and Lose Small*, Kroll explains why commodities trading is part science and part art.